16 October 2026

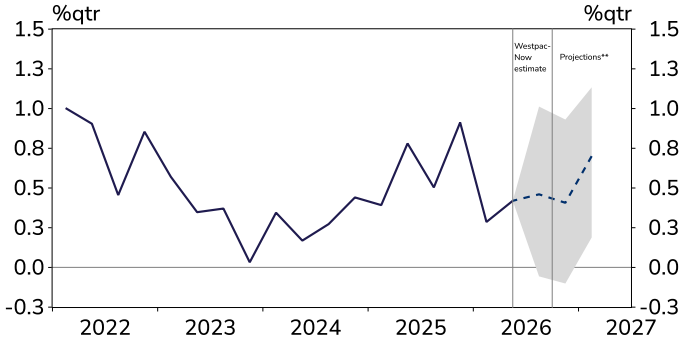
WESTPAC NOWCAST Q3 2026: SECOND ESTIMATE

Growth falters through the quarter

Key points

- The second estimate from Westpac-Now points to GDP growth of around +0.5%qtr in Q3 2026 and 2.1%yr. This is slightly lower than the first estimate of +0.6%qtr. This still represents a slight step up in growth from Q2 2026 but masks some loss of momentum over the course of the quarter.
- Our Monthly Activity Index deteriorated noticeably in August and September. Weakness has become increasingly broad-based, with labour and business condition indicators among the largest drags and relatively few areas providing a meaningful offset.
- The economy is coming under increasing pressure as the cumulative impact of higher interest rates combines with renewed disruptions in global energy markets and a deepening housing downturn. With another rate hike likely in November, these pressures are expected to build further heading into 2027.
- Overall, the economy is becoming increasingly reliant on the upswing in business investment to support growth. This narrow base of growth has left the balance of risks less favourable. Our central case remains one of slowing rather than stalling. Westpac-Now's current model dynamics point to growth moderating to around +0.4%qtr in Q4 2026. Our formal forecasts have growth slowing to a softer +0.2%qtr pace (see here).
- Our final Westpac-Now estimate for Q3 2026 will be published on 20 November.

GDP Growth*



Source: ABS, Macrobond, Westpac Economics

*Dotted line shows Westpac-Now central estimates. Quarter ahead (or Q3 2026) relies on the actual Westpac monthly activity index to September 2026.

**Beyond the quarter ahead, estimates rely on projections of the Westpac monthly activity index generated using internal model dynamics. Confidence intervals reflect empirical out of sample forecasting errors.

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Growth momentum on shaky ground



Neha Sharma
Economist

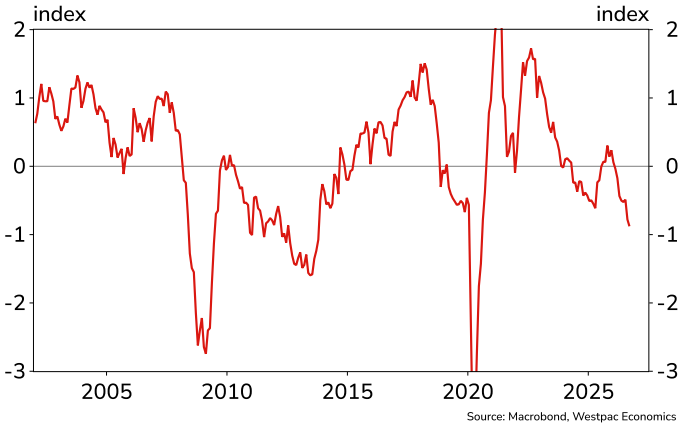
In November 2025, we introduced Westpac-Now (see here), a continuously-updated measure of current activity in the Australian economy. Westpac-Now draws on more than 60 high frequency economic and financial variables, using advanced statistical techniques to provide a timely pulse check on economic momentum. It is the first Australian model to incorporate internal banking data, enhancing its predictive power.

This note provides the second estimate of GDP growth for the September quarter 2026, using domestic and international data released up to and including the September Labour Force Survey (released 15 October 2026). Updates are published monthly (see Appendix A for the release schedule).

Westpac Monthly Activity Index: activity falters as headwinds mount

After showing tentative signs of improvement through the second half of 2025, the Westpac Monthly Activity Index has weakened markedly over 2026. The Index moved back into negative territory in February and has declined further since. While there were some signs of stabilisation around mid-year, this proved to be short lived with the Index falling to –0.88 in September, outside of the pandemic period, the weakest read since 2013.

Westpac Monthly Activity Index



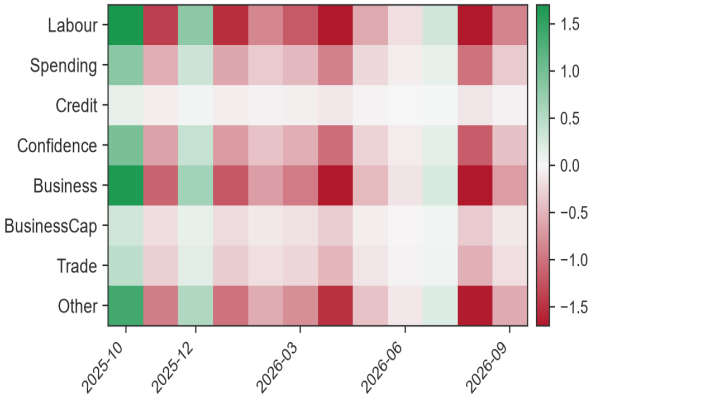
Source: Macrobond, Westpac Economics

The economy is coming under pressure from multiple fronts, with key headwinds coming from higher interest rates, renewed disruptions to global energy markets and a deepening in the housing downturn. Among households, spending held up surprisingly well through the first half of the year despite historically weak sentiment, but more recently spending outside of fuel has started to cool (see here). At the same time, the labour market has continued to soften, with unemployment reaching a cycle high of 4.7% (see here). Meanwhile, the business sector is also showing signs of softening, with sentiment deteriorating and conditions holding at weak levels (see here). Business credit growth remains a notable exception, although even here there are tentative signs of easing (see here).

This deterioration is particularly evident in our heatmap. Negative contributions have become both broader and more pronounced through 2026, with the weakness intensifying in August and September. Labour and business condition indicators are now the largest sources of weakness, while spending and confidence have also deteriorated materially. Credit and capacity utilisation indicators have been comparatively less negative, but there are currently few areas providing a meaningful offset to the broader softening.

Our indicator heatmap decomposes changes in the Monthly Activity Index into group-level contributions, allowing us to assess which components are driving movements in activity. For ease of interpretation, indicators are grouped into broad categories (see the Appendix for further details). For example, the labour market category includes both official ABS Labour Force Survey outcomes and timelier survey-based measures of labour demand and job advertisements.

The Common Activity Factor Heatmap by Groups



Westpac-Now: Resilient growth outlook slowing not stalling

Recall that Westpac-Now is a refined indicator that combines our Monthly Activity Index with advanced econometric techniques to estimate GDP growth. As previously noted, the fit is not expected to be exact. Measured GDP includes

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components that are not well captured by high-frequency activity indicators, such as imputed rents for owner-occupiers, housing-related ownership transfer costs, public and business inventories, and depreciation.

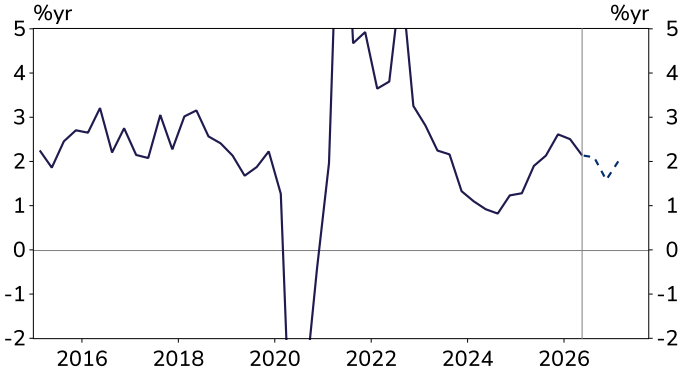
To bridge monthly and quarterly data, we use a MIDAS framework, allowing us to combine mixed-frequency inputs and incorporate partial information for the current quarter when producing GDP forecasts.

Based on current model estimates, Westpac-Now's second estimate for Q3 2026 points to GDP growth of 0.5%qtr (with a 70% confidence interval of –0.1%qtr to 1.0%qtr) and 2.1%yr, representing a slight downgrade from the first estimate of +0.6%qtr but still a step up from the 0.4%qtr (2.1%yr) outcome recorded in Q2 2026. While aggregate growth appears to have held up through Q3, the underlying picture became softer as the quarter progressed. At the second decimal place the estimate is 0.46%qtr, leaving it close to rounding down to 0.4%qtr.

With several headwinds now bearing on the economy simultaneously, there is a growing risk that the slowdown in activity becomes more pronounced than currently anticipated. At the same time, the strength of the business investment upswing provides an important counterweight that should help cushion the broader slowdown.

Looking ahead, model dynamics suggest growth will tick down to 0.4%qtr in Q4 2026 before picking up in Q1 2027. However, these projections remain much more tentative, given their reliance on projected inputs rather than realised data. In addition, heightened uncertainty, particularly around the renewed tensions in the Middle East conflict, means risks around these forward estimates are larger than usual.

Westpac-Now Estimates and Projections*



Source: ABS, Macrobond, Westpac Economics
*Dotted line show Westpac-Now central estimates. Quarter ahead (or Q3 2026) relies on actual Westpac-MAI to September 2026. Beyond the quarter ahead, estimates rely on projections of the Westpac-MAI generated using internal model dynamics.

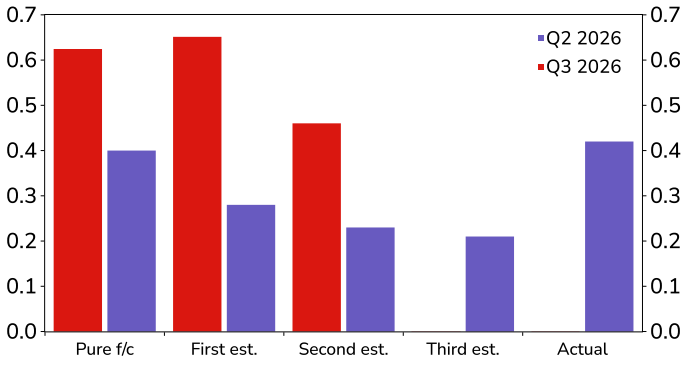
September Quarter data: a softer end to the quarter

Data released in the first month of the September quarter indicated that the economy has picked up momentum relative to the previous quarter, with our first nowcast estimating Q3 growth at 0.6%qtr, in line with the 0.6%qtr "pure forecast" based solely on data available up to June 2026.

However, the flow of data since then shows downside risks to growth have begun to materialise. Incorporating the August, followed by the September (to date), data both yielded nowcasts of 0.5%qtr (with a slight softening at the second decimal place). This contrasts with Q2 2026, when weakness emerged early in the quarter, in April, before subsequent data pointed to stabilisation.

Evolution of Westpac-Now

Within-quarter changes to Westpac-Now, quarterly % change



Source: ABS, Macrobond, Westpac Economics

Note that monthly activity estimates are more uncertain than normal when inflation is shifting. Faster price growth can cause nominal indicators, such as consumer spending, to rise more strongly even though 'real', inflation-adjusted spending may be softening (and vice versa). The inclusion of 'real' indicators, such as employment and banking transaction volumes, helps mitigate some – but not all – of this uncertainty.

Bottom line:

Westpac-Now points to GDP growth of around 0.5%qtr (2.1%yr) in Q3 2026, suggesting aggregate growth held up reasonably well through the quarter, although the flow of data points to softer momentum as the quarter progressed. The substantial upswing in business investment remains an important source of support, helping to offset mounting weakness elsewhere in the economy.

Looking ahead, the accumulation of headwinds is expected to see growth slow further towards year-end, with Westpac-Now currently pointing to growth of around 0.4%qtr in Q4 2026. Downside risks around the outlook have increased, but for now our central case remains one of slower growth rather than a material downturn.

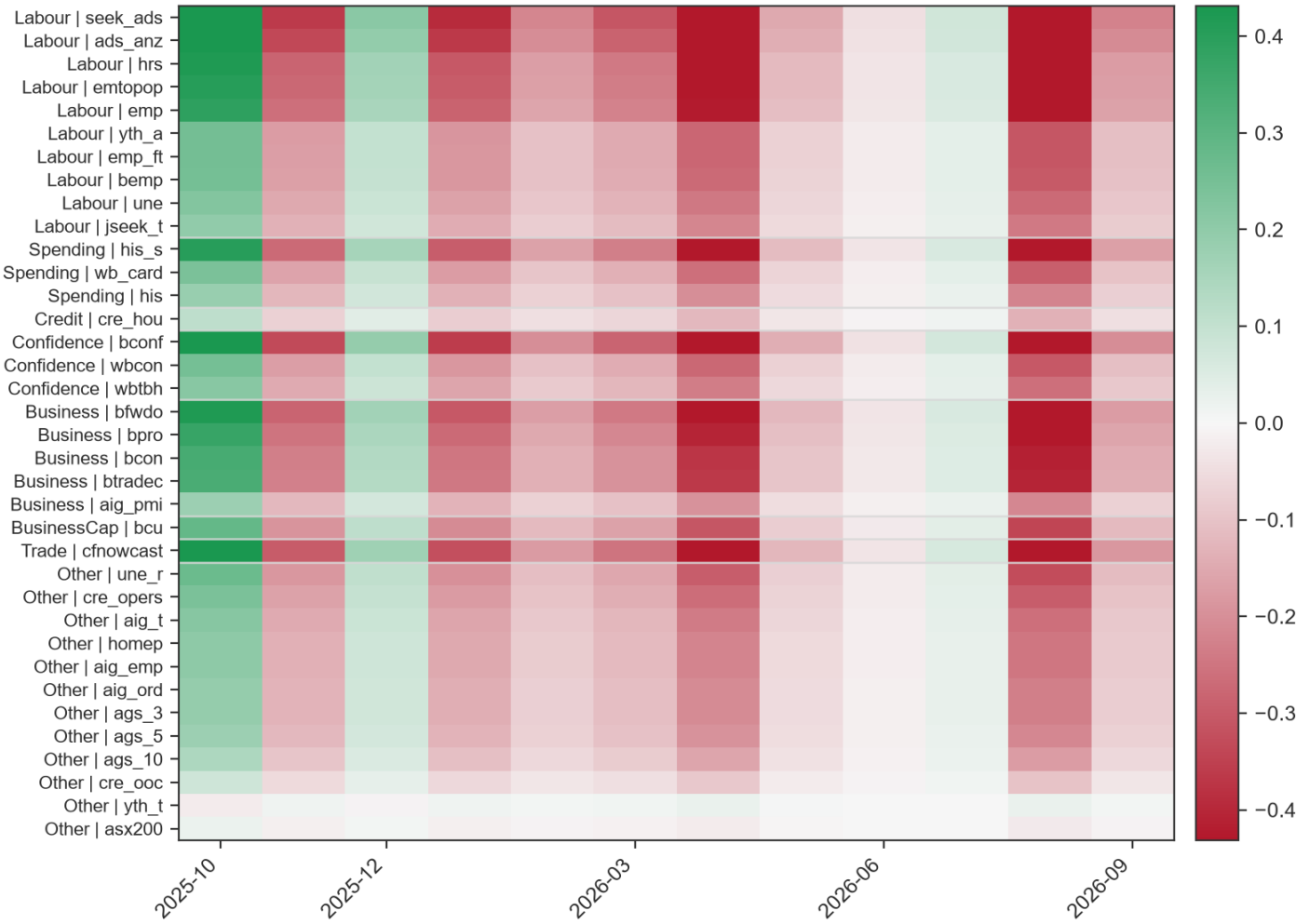
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Appendix A: Westpac-Now Release Schedule (2026)

Going forward, Westpac Now will be published on the Friday following each ABS Labour Force Survey (LFS) release, at 11:30am AEDT/AEST (Canberra time). Each release incorporates the latest labour market data alongside other high frequency indicators and provides an updated nowcast for quarterly GDP growth. As the quarter progresses, each update should be interpreted as a progressively more complete estimate of that quarter's economic performance.

Release date (Friday)	LFS reference month	Quarter focus	Interpretation
20 November 2026	October 2026	Q3 2026 – final estimate	Near complete read on Q3 activity
18 December 2026	November 2026	Q4 2026 – first estimate	Initial assessment of Q4 momentum

Appendix B: The common activity factor heatmap by indicators



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